

The key to investing is not assessing how much an industry is going to affect society, or how much it will grow, but rather determining the competitive advantage of any given company and, above all, the durability of that advantage.⁴

—Warren Buffett

Everything wears out eventually. Even the seemingly permanent Dhandho arbitrage spreads will eventually vanish. That does not mean we can't invest and make a decent return. It does mean, however, that we need to have some perspective on whether the spread is likely to last 10 months or 10 years. The wider the spread, the better it is. And the more durable it is, the better it is. The difference between Dhandho and traditional arbitrage lies mainly in duration and width of the spread. With Dhandho, this spread is likely to last for many years, and the returns an investor can garner by capturing this spread can be enormous.

Always look for arbitrage opportunities. They allow you to earn a high return on invested capital with virtually no risk. Exploit these Dhandho arbitrage spreads for all they are worth.